

even more so for the variety of bonds that can be used for “fixed income.” For example, equities can be considered based on the size of the company, the growth characteristics, the valuation, the sector type, geographic exposure, and so on. Similarly, bonds can include government or corporate issues, with varying durations, credit ratings, and tax advantages.

This traditional approach to asset allocation ran aground in 2008, when the financial markets collapsed and investors found that even if they had both stocks and bonds in their portfolio, they all fell together.⁵ The average investor felt betrayed by the tried and trusted model of stocks and bonds moving in a noncorrelated fashion. The crash of 2008 shook these investors from their “economic lullaby.”⁶ In an increasingly globalized world where capital market assets are more closely intertwined, it was becoming clear that twentieth-century diversification models wouldn’t cut it for twenty-first-century investing.

While the crash of 2008 was felt by most everyone, it soon surfaced that some people had not only weathered the storm but made significant money by leveraging the strong winds of fortune.⁷ Hedge fund managers who had been operating in relative secrecy were now being named as the new “masters of the universe” for their ability to avoid much of the damage of the crash and, for some, to profit greatly from it.

THE RISE OF ALTERNATIVE INVESTMENTS